

FINANCIAL FRAUD MANAGEMENT POLICY

1. **PURPOSE** This policy establishes a zero-tolerance approach to fraud, theft, and dishonesty. It is designed to protect the assets of the institution and its customers from deceitful conduct by employees, contractors, vendors, or external parties.

2. **DEFINITION OF FRAUD** Fraud is defined as any intentional act of deceit to obtain an unjust or illegal financial advantage. This includes, but is not limited to:

Asset Misappropriation: Theft of cash, supplies, or equipment.

Document Forgery: Alteration of cheques, invoices, bank drafts, or employment records.

Corruption: Bribery, kickbacks, or soliciting inducements to influence decision-making.

Financial Misreporting: Improper revenue recognition or inflating asset values.

Cyber Fraud: Unauthorized access to records, theft of personal data, or creating spurious accounts.

3. RESPONSIBILITIES

Employees: All staff must remain vigilant and report any suspected fraudulent activity immediately. Failure to report known fraud is a disciplinary offense.

Management: Managers are responsible for implementing internal controls, ensuring segregation of duties, and monitoring for "red flags," such as employees living beyond their means or missing documentation.

Compliance Department: Responsible for investigating all allegations with objectivity and confidentiality.

4. **REPORTING PROCEDURES** Any individual who has reasonable grounds to believe fraud has occurred must report it via the Anonymous Compliance Hotline or directly to the Head of Internal Audit.

5. **PROTECTION AND RETALIATION** The organization maintains a Whistleblower Protection policy. No employee will face retaliation for reporting suspected fraud in good faith. However, malicious or knowingly false reports will not be tolerated and may lead to disciplinary action.

6. **INVESTIGATION** Suspected fraud will be investigated by the Internal Audit Division. During an investigation, access to records and premises may be restricted. If fraud is confirmed, the organization will pursue appropriate disciplinary action, including termination of employment and legal prosecution.